Unit 13

FINAL ACCOUNTS OF SOLE PROPRIETORS-II

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Points to recall

The following points are to be recalled before learning final accounts of sole proprietors-II

- Final accounts
- Revenue recognition principle
- Matching principle
- Accrual principle
- Periodicity principle

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Learning Objectives

To enable the students to

- Understand the accounting treatment for adjustments
- Pass adjusting entries
- Prepare final accounts when adjustments are given

Key terms to know

- Adjustment entries
- Outstanding expenses
- Prepaid expenses
- Accrued income
- Income received in advance
- Bad debts
- Provision for bad and doubtful debts
- Provision for discount on debtors

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